Whitecap Resources Inc. (TSX: WCP)

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October 27, 2026

RATING	CLOSING PRICE
Buy	CAD 20.43
PRICE TARGET	**IMPLIED ALL-IN RETURN**
CAD 24.00	21.0%

Investment summary

Whitecap Resources is a Calgary-based producer of about 385,000 boe/d of light oil, condensate and natural gas. Its 2025 combination with Veren added the Kaybob Duvernay and Montney, making it Western Canada's fourth-largest condensate producer. In Q2 2026, Whitecap generated record funds flow of C$1.35 billion and free funds flow of C$925 million. Operating costs are down 13% since the Veren closing, and net debt has fallen to 0.5x funds flow.

Our thesis is that today's high oil prices are being banked rather than spent. Capital stays near C$2.1 billion, so cash flow above our deck goes to the balance sheet and shareholders. At US$80 WTI in 2027, we estimate C$1.92 of free funds flow per share against a C$0.73 dividend. Our model keeps the dividend covered by free funds flow down to about US$63 WTI, after full capital spending.

Upcoming potential catalysts and milestones include: (1) Q3 2026 results and the 2027 budget (4Q26); (2) Lator 04-13 Montney facility start-up, adding 35,000–40,000 boe/d of capacity (4Q26); (3) a third plug-and-perf completion pilot at Gold Creek (2026–27); (4) a 2027 capital plan that weighs buybacks and dividend growth (4Q26); (5) net debt reaching zero at our deck (2027E); and (6) Middle East supply developments that support light oil and condensate pricing (ongoing).

Valuation

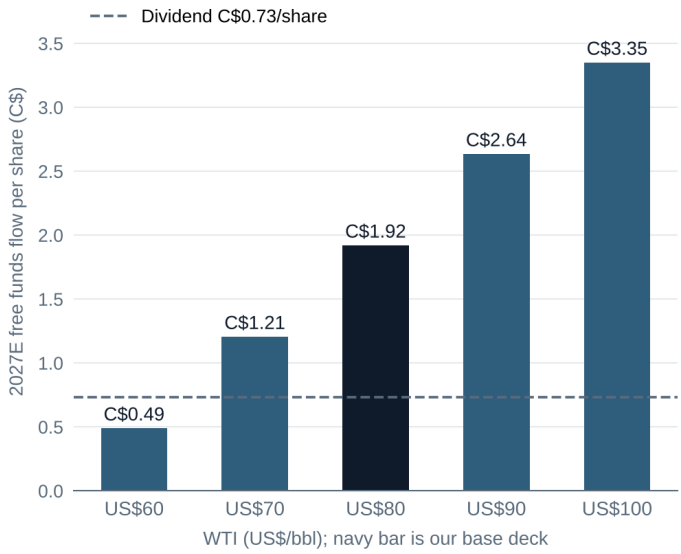
Our C$24.00 price target is a 50/50 blend of 6.5x 2027E EV/DACF and an 8% yield on 2027E free funds flow. At our US$80 WTI deck, Whitecap trades at 6.0x 2027E EV/DACF with a 9.4% free funds flow yield. On annualized Q2 results it trades at 5.0x EV/cash flow, in line with Strathcona and well below Tourmaline (Exhibit 2). We think 4,700 drilling locations, 61% liquids and 0.5x leverage earn a modest premium to today's multiple. Our Buy rating reflects a 21.0% implied all-in return, including a 3.6% dividend yield.

We assume no buybacks, so net debt falls to about zero during 2027 at our deck. Any buyback announced with the 2027 budget would be accretive at a 9% free cash flow yield.

Risks to rating and price target

In addition to general operating, financing and commodity (oil, NGL, natural gas) risks, we highlight: (1) oil prices, where each US$10/bbl change in WTI moves 2027E funds flow by about C$0.72 per share; (2) a fast de-escalation in the Middle East that pulls WTI below our deck; (3) weak AECO gas prices, which averaged C$1.63/mcf in Q2; (4) execution on the Lator start-up and Montney well results; (5) wider light oil and condensate differentials as supply grows; and (6) Alberta royalty, carbon and federal emissions-cap policy.

Exhibit 1 - 2027E free funds flow vs. dividend by WTI



2027E free funds flow per share after C$2.1B of capital, at 397,000 boe/d. Source: Northwall estimates.

Exhibit 2 - Canadian producer peers (Q2-26 annualized)

Company	Price	Mkt cap	EV/CF	FCF yld	Div yld	ND/CF
Whitecap	**20.43**	**$24.8B**	**5.0x**	**14.9%**	**3.6%**	**0.5x**
Tourmaline	65.86	$25.7B	8.6x	3.0%	3.0%	0.5x
Strathcona	41.73	$8.9B	5.0x	13.3%	2.9%	0.9x

C$. Q2-26 cash flow, free cash flow and dividend annualized; net debt at June 30, 2026. Prices: WCP Oct 23, TOU Oct 22, SCR Oct 15, 2026. Source: company filings.

Exhibit 3 - Northwall estimates

FY Dec	2026E	2027E	2028E
WTI (US$/bbl)	88 / 95 Q3/Q4	80	72
Production (000 boe/d)	385	397	409
Funds flow (C$M)	5,021	4,435	3,852
Funds flow / share (C$)	4.13	3.65	3.17
Free funds flow (C$M)	2,921	2,335	1,752
Net debt, year-end (C$M)	1,313	-135	-1,000
EV/DACF	5.3x	6.0x	6.9x

2026E includes reported H1 results. Negative net debt is net cash. No buybacks assumed. Source: company filings, Northwall estimates.

Ratings: Buy, expected 12-month total return above 15%; Hold, 0–15%; Sell, below 0%. Facts are from company filings; estimates, target and rating are Northwall Research opinions. The analyst certifies these views are their own. Not investment advice.